Sales & Profitability Report

A data-driven review of global sales, margin and discount performance

REPORTING PERIOD
September 2013 - December 2014

SCOPE
5 Countries | 6 Products | 5 Segments

PREPARED
August 11,09, 2026

CLASSIFICATION
Internal - Company Distribution

01 Executive Summary

This report analyzes BeeSkilled's sales and profitability performance across the September 2013 - December 2014 reporting period, covering 700 transactions across 5 countries, 6 products and 5 customer segments. Total sales reached **$118.7 million**, generating **$16.9 million** in profit at a blended margin of **14.2%**.

TOTAL SALES	TOTAL PROFIT	PROFIT MARGIN	UNITS SOLD
$118.7M	$16.9M	14.2%	1,125,806

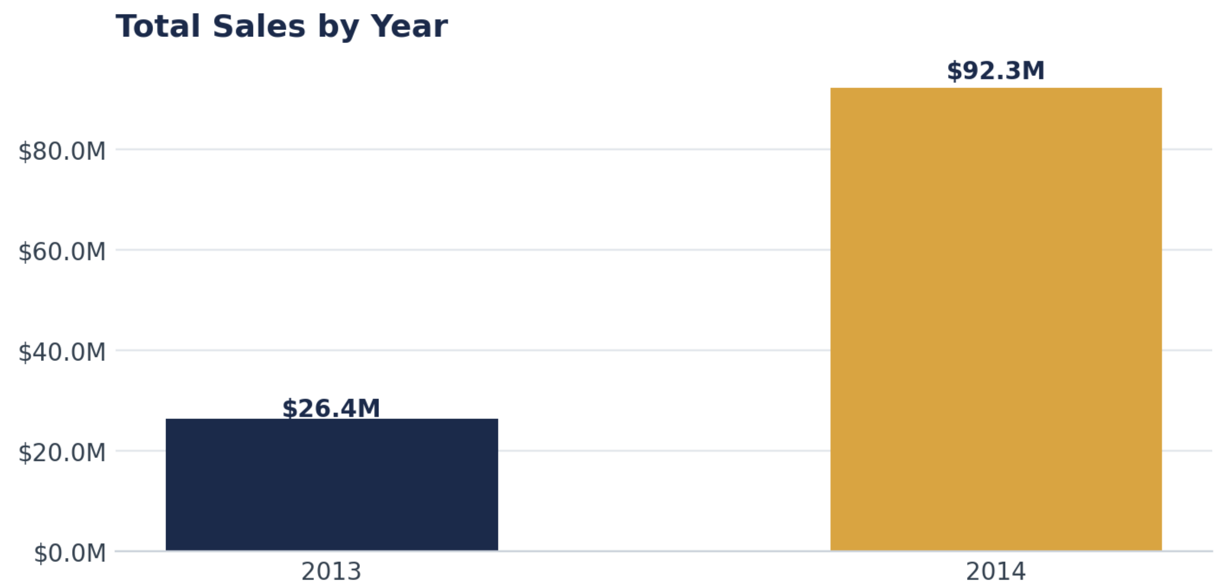
GROSS SALES	DISCOUNTS	DISCOUNT RATE	TOTAL ORDERS
$127.9M	$9.2M	7.2%	700

Key Findings

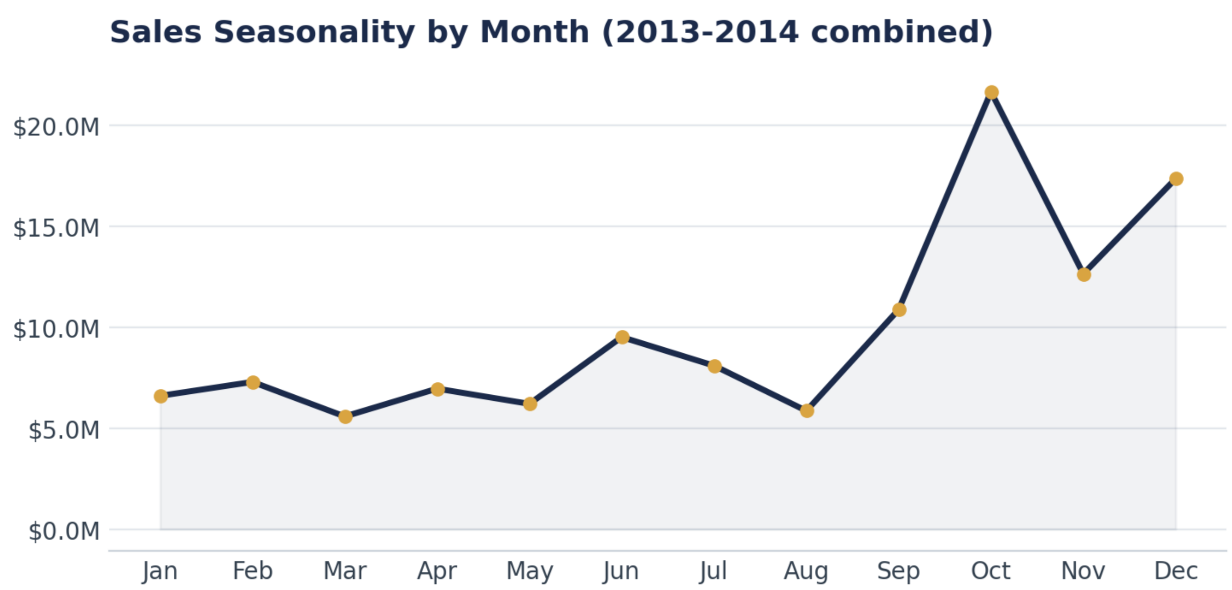
- Sales grew sharply year over year: from $26.4M in 2013 (a partial four-month window) to $92.3M in 2014, reflecting strong business momentum, though the periods are not directly comparable in length.
- The **Government** segment is the clear profit engine, contributing $11.4M of the $16.9M total profit (67%), while the **Enterprise** segment posted a net loss of -$0.6M for the period.
- Revenue is well balanced geographically: the top country (USA, $25.0M) and bottom country (Mexico, $20.9M) differ by only about 16%.
- **Paseo** is the standout product, generating $4.8M in profit - more than 1.5x the next-best product (VTT, $3.0M).
- Sales are highly seasonal, peaking sharply in October ($21.7M) and December ($17.4M), with a trough in March ($5.6M).
- Discounting shows a paradox: transactions with a "High" discount band still generated $3.4M in profit, but far less than "Low" discount transactions ($6.2M), suggesting heavy discounting compresses margin without a proportional volume payoff.

02 Sales Performance

Sales nearly quadrupled from 2013 to 2014 on a nominal basis; however 2013 data covers only the final four months of the year (September-December), so the comparison overstates true growth. Even accounting for this, the annualized run-rate points to healthy expansion.

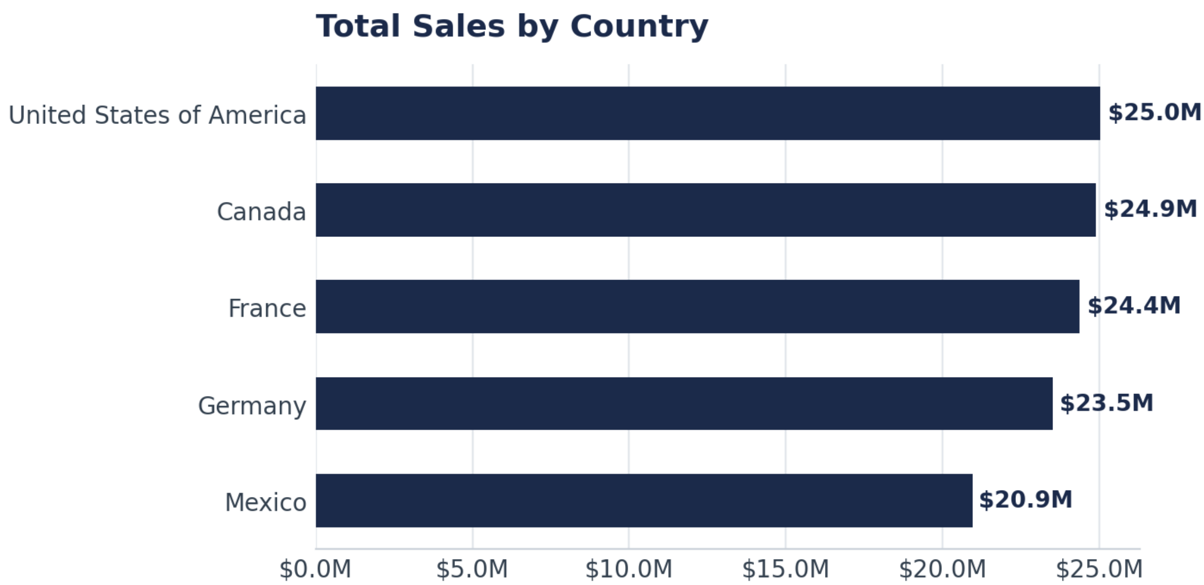


Monthly seasonality is pronounced. Sales build steadily from a March low through mid-year, dip in August, then surge in the final calendar quarter - October and December alone account for roughly 29% of total sales. This pattern should directly inform inventory, staffing and promotional planning.

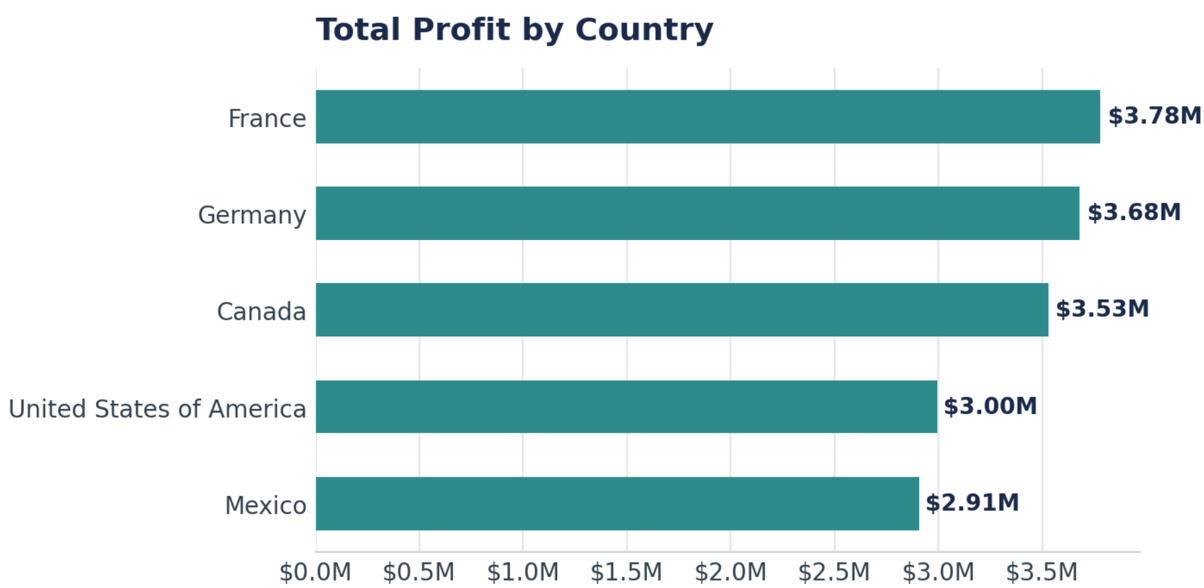


03 Geographic & Country Performance

Sales are broadly evenly distributed across the five markets, with the United States leading at $25.0M, closely followed by Canada ($24.9M) and France ($24.4M). No single market dominates, which limits concentration risk but also means growth cannot rely on one hero market.

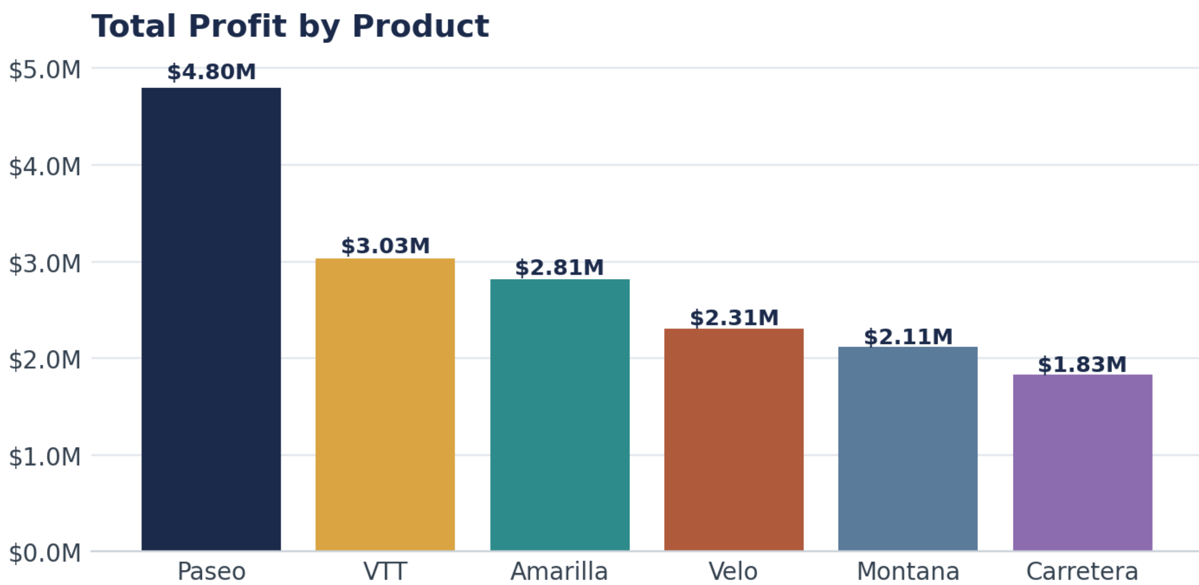


Profitability tells a different story than revenue. France ($3.78M) and Germany ($3.68M) convert sales into profit more efficiently than the United States ($3.00M), despite the US generating the most revenue - indicating a mix or discounting difference between markets that merits deeper investigation.

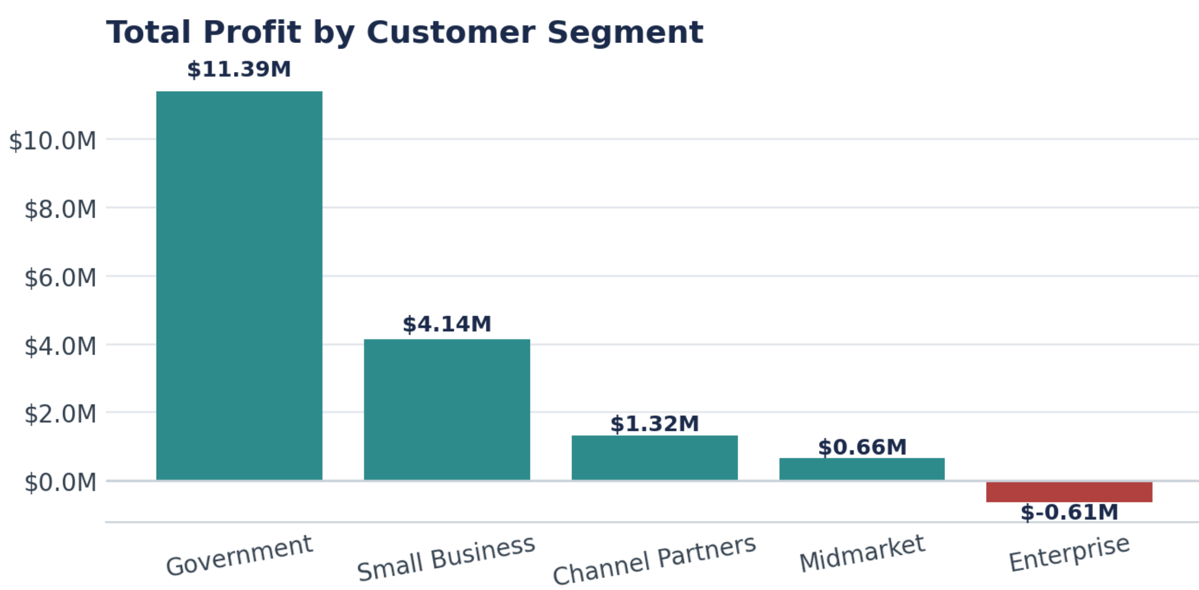


04 Product & Segment Performance

Paseo is the profit leader by a wide margin, followed by VTT and Amarilla. Carretera, despite being the lowest-cost product to manufacture, generates the least profit overall, suggesting its low sale price is not being offset by sufficient volume.

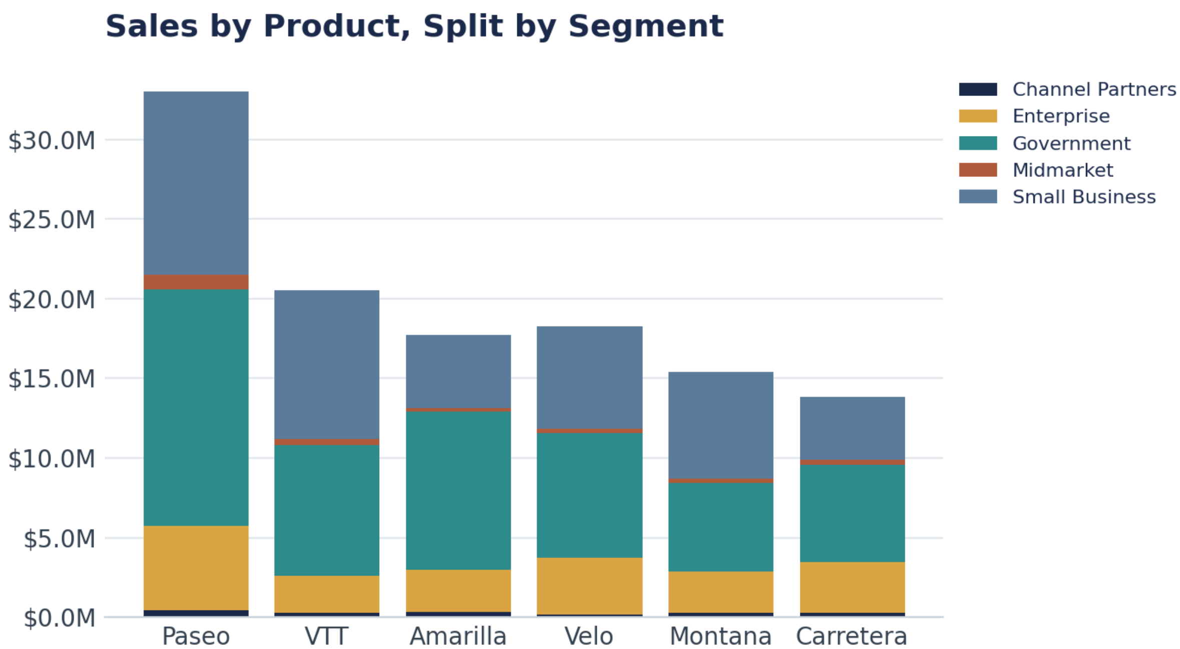


Across customer segments, Government and Small Business together deliver 92% of total profit. Enterprise is the only segment operating at a net loss for the period, and Midmarket is only marginally profitable - both warrant a pricing or cost-to-serve review.

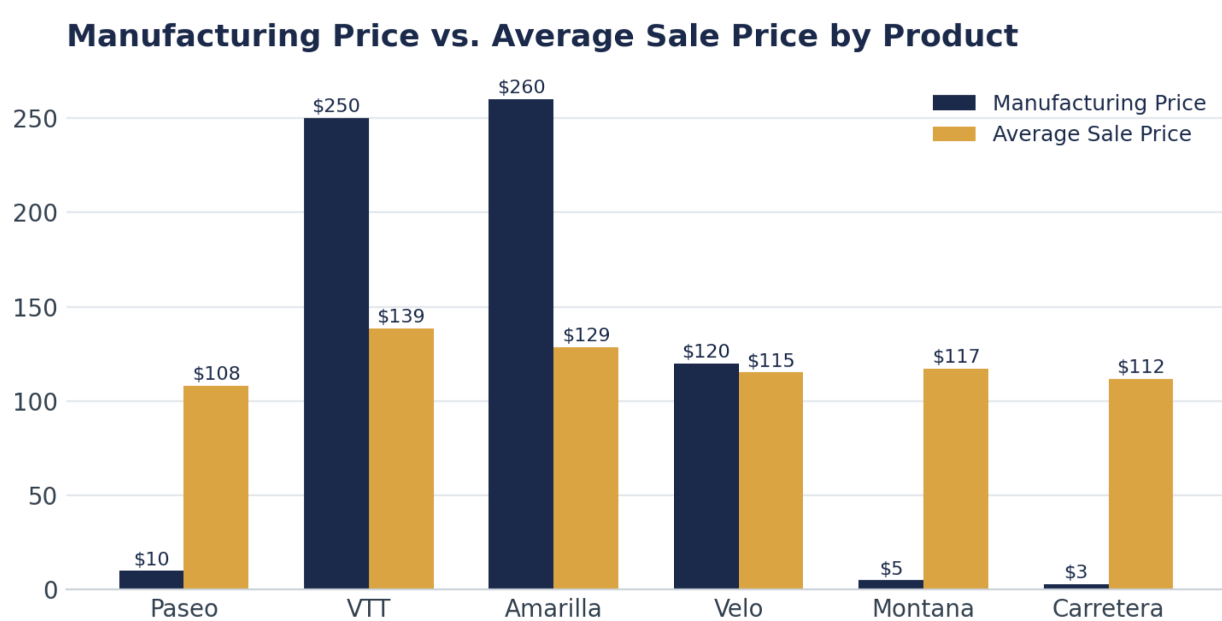


05 Product Mix & Pricing

Breaking sales down by product and segment shows Paseo's strength is concentrated in Government and Small Business, which together account for the majority of its revenue. This concentration is a strategic asset, but also a dependency risk if either segment softens.

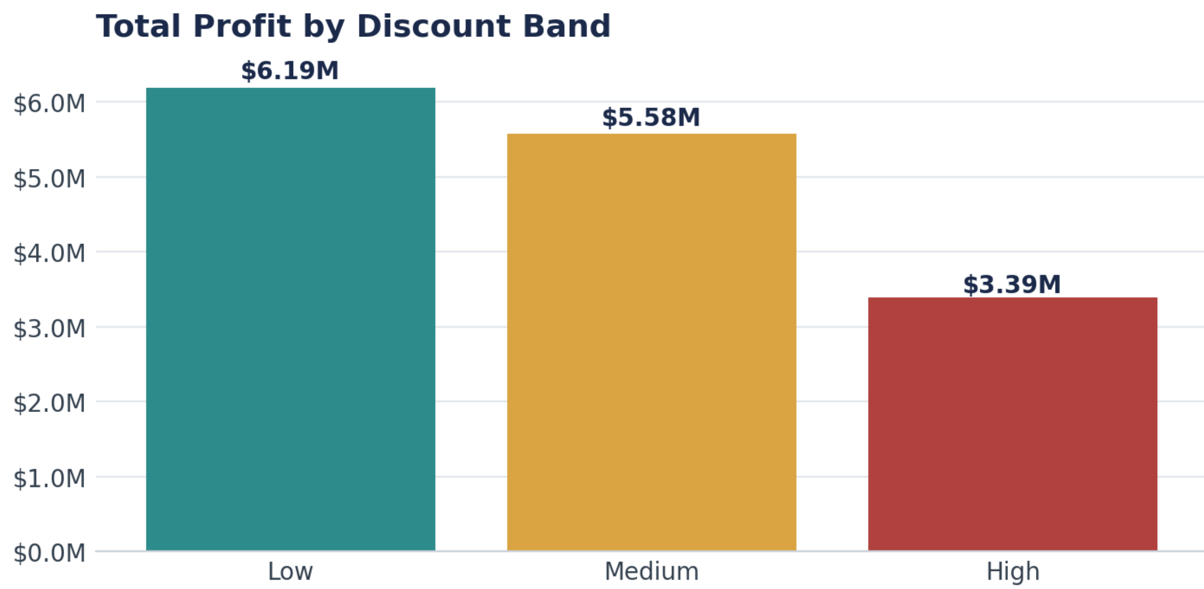


List pricing varies widely by product. Paseo, Montana and Carretera carry very low manufacturing prices ($3-$10) but sell in the $108-$117 range, while VTT and Amarilla carry much higher manufacturing prices ($250 and $260) against average sale prices of only $129-$139. In this dataset, realized Cost of Goods Sold and Profit are not a direct function of Units Sold × Manufacturing Price, so this comparison is best read as a view of list-price positioning rather than a direct explanation of the profit results above.

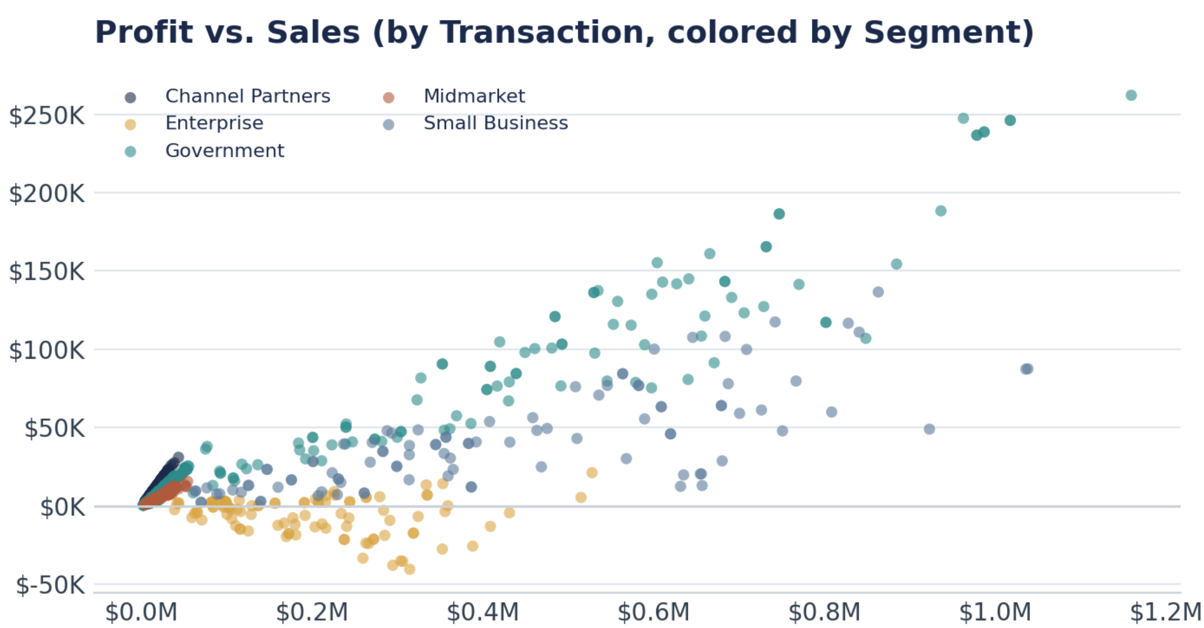


06 Discounting Strategy & Profit Efficiency

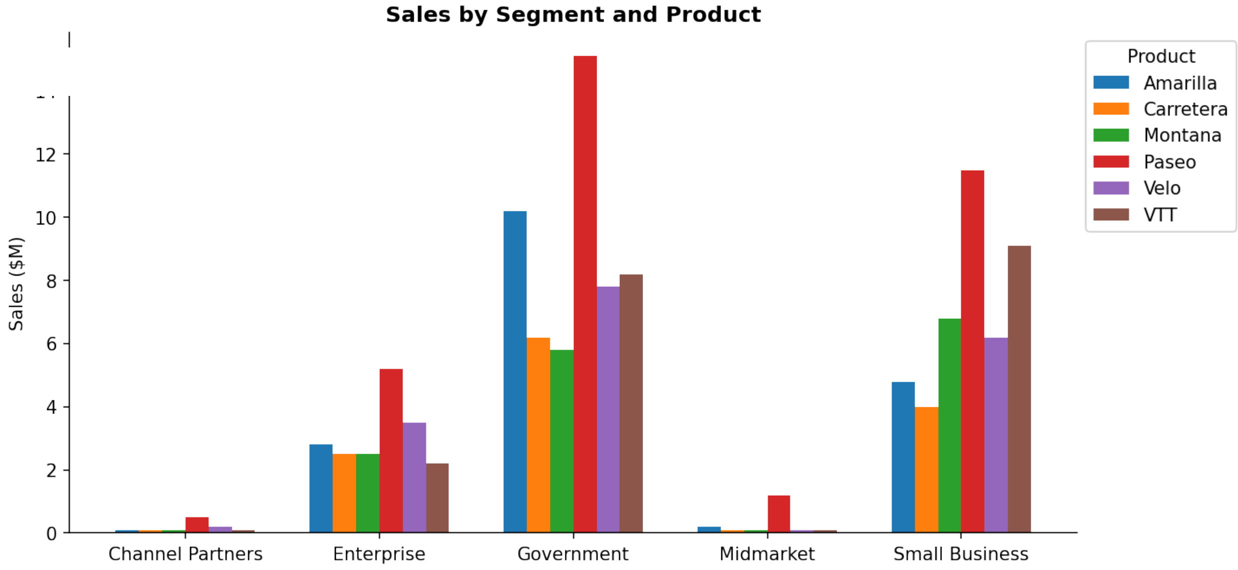
Discount band has a direct, negative relationship with total profit: "Low" discount transactions delivered $6.2M in profit versus $3.4M for "High" discount transactions, even though the High band includes more transactions (245 vs 160). This implies the current discounting approach is trading margin for volume at an unfavorable rate.



At the transaction level, profit generally scales with sales size, but there is meaningful spread - a cluster of transactions with moderate-to-large sales value produced minimal or negative profit, concentrated in the gold-colored Enterprise segment near and below the zero line.

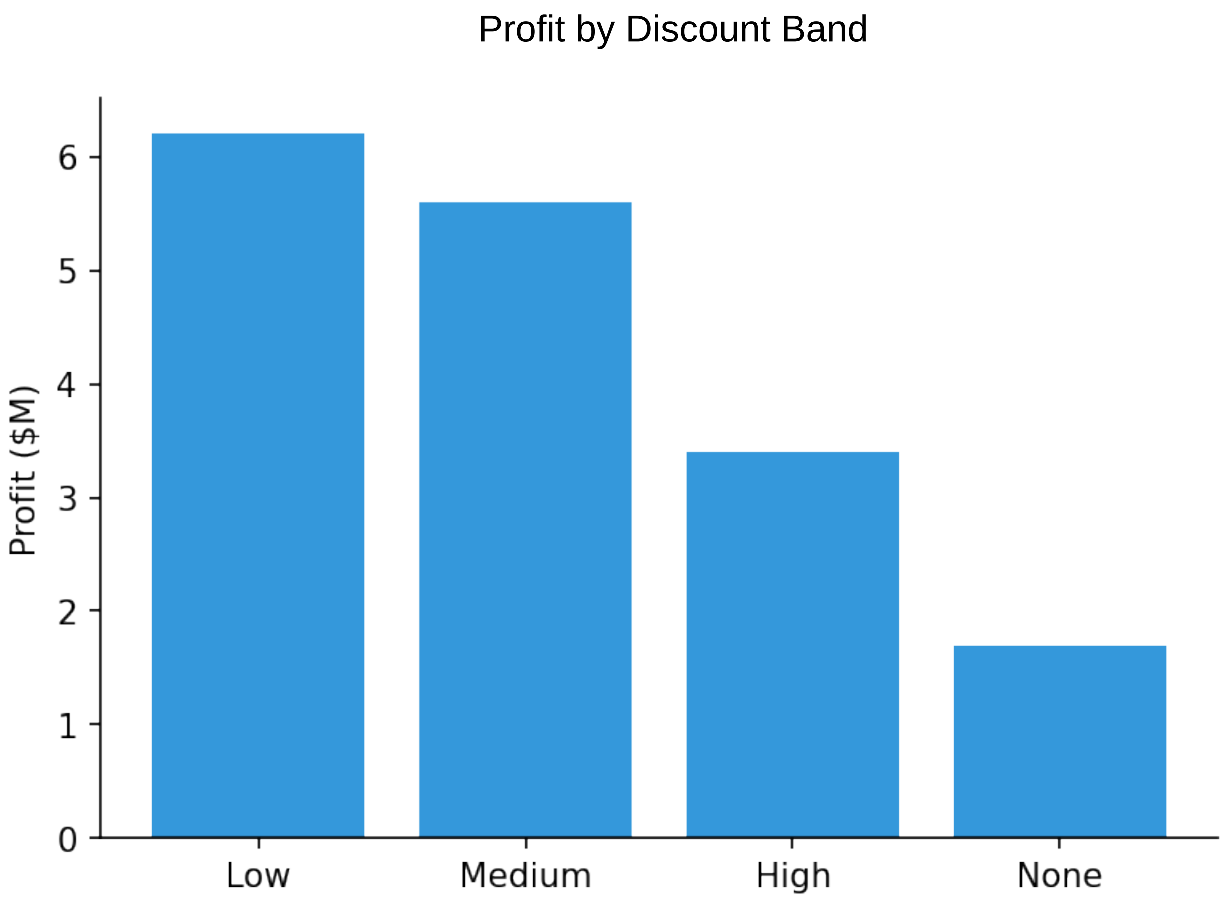


SUPPLEMENTARY DASHBOARD VIEWS



KEY INSIGHT: SEGMENT AND PRODUCT SALES MIX

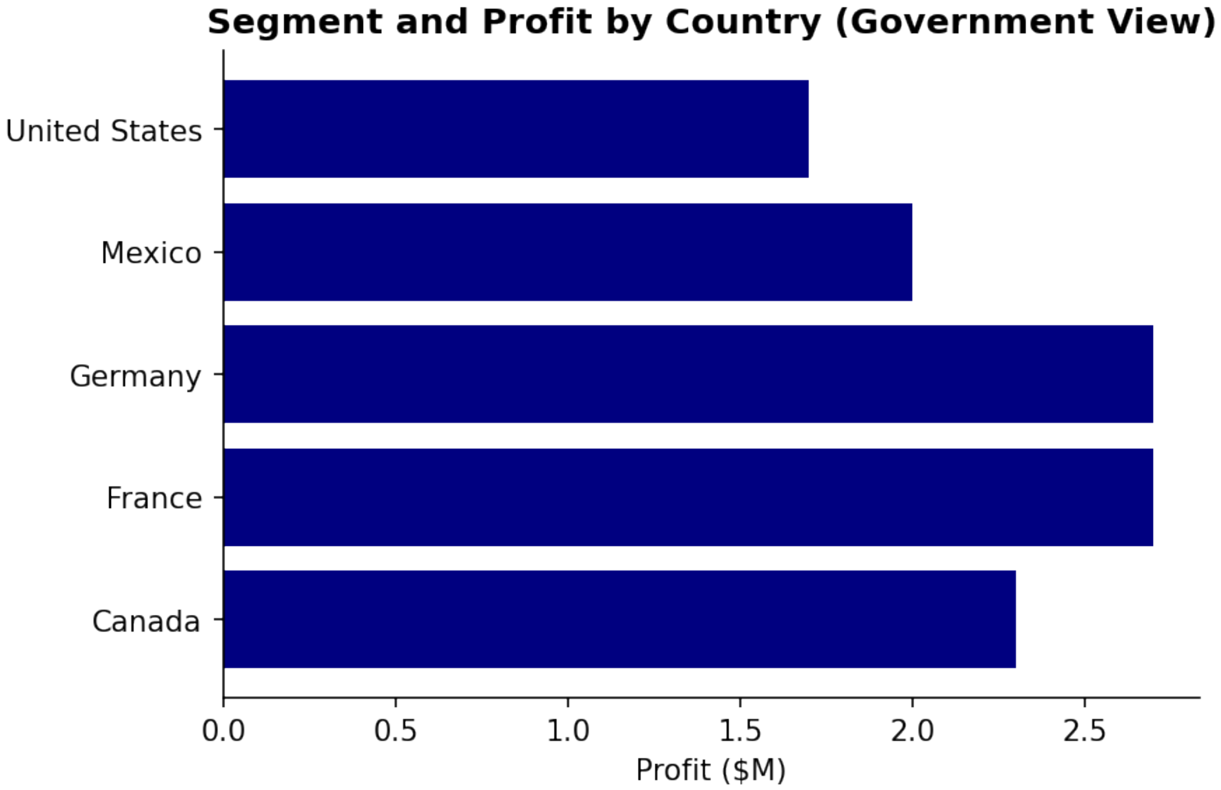
- **Market Dominance:** The Government segment remains the primary driver across all product lines, with Paseo leading at approximately $15.1M in sales.
- **Secondary Leader:** Small Business shows significant volume, particularly for Paseo ($11.5M) and VTT ($9.1M).
- **Strategic Comparison:** This clustered view highlights the side-by-side performance of products, emphasizing the consistent lead of Paseo in every major segment.



KEY INSIGHT: FULL DISCOUNT PROFITABILITY AUDIT

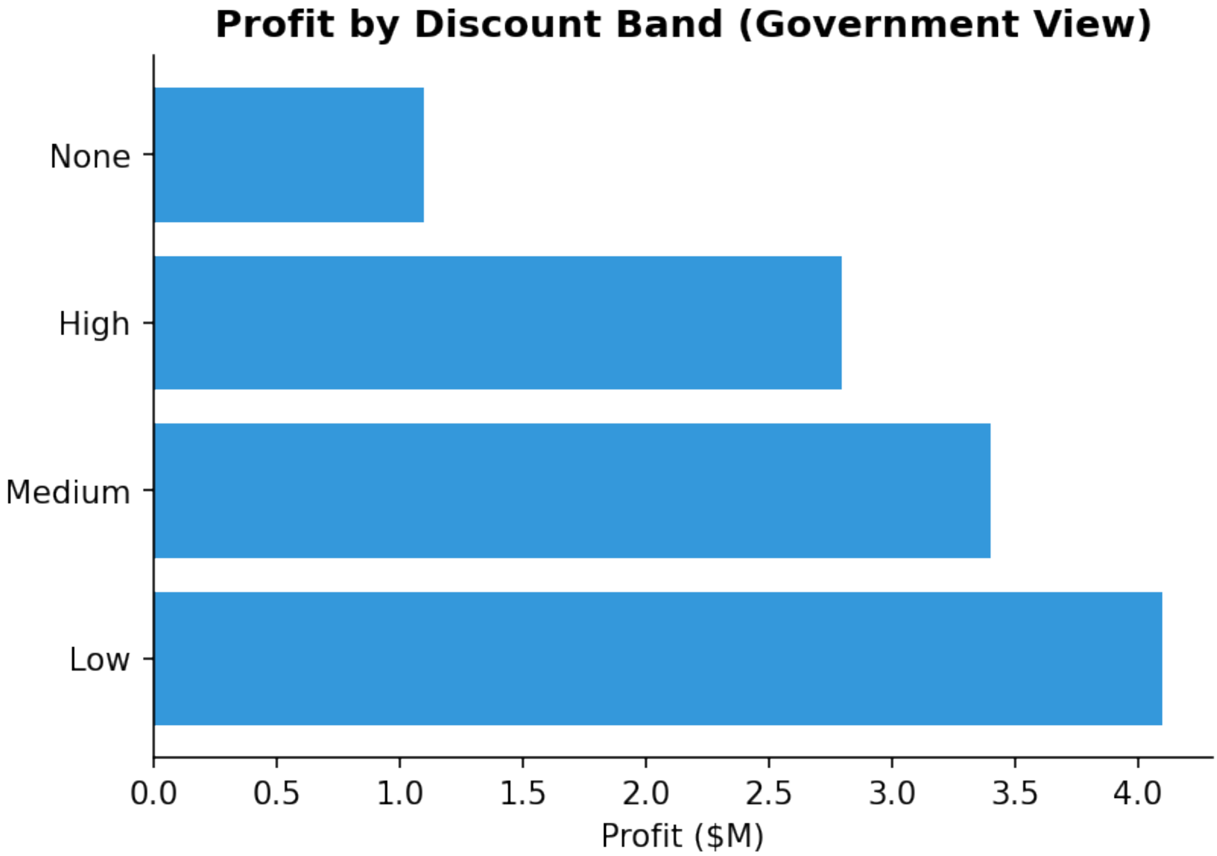
- **Profit Peak:** The Low discount band yields the highest overall profit at $6.2M.
- **Discount Impact:** Profitability significantly declines as discounts move to the High band ($3.4M).
- **Zero Discount Base:** The "None" band (zero discount) contributes $1.7M, confirming that while volume requires some discounting, the High band severely compresses total returns.

GOVERNMENT SEGMENT DETAILED AUDIT



KEY INSIGHT: SEGMENT AND PROFIT BY COUNTRY (GOV)

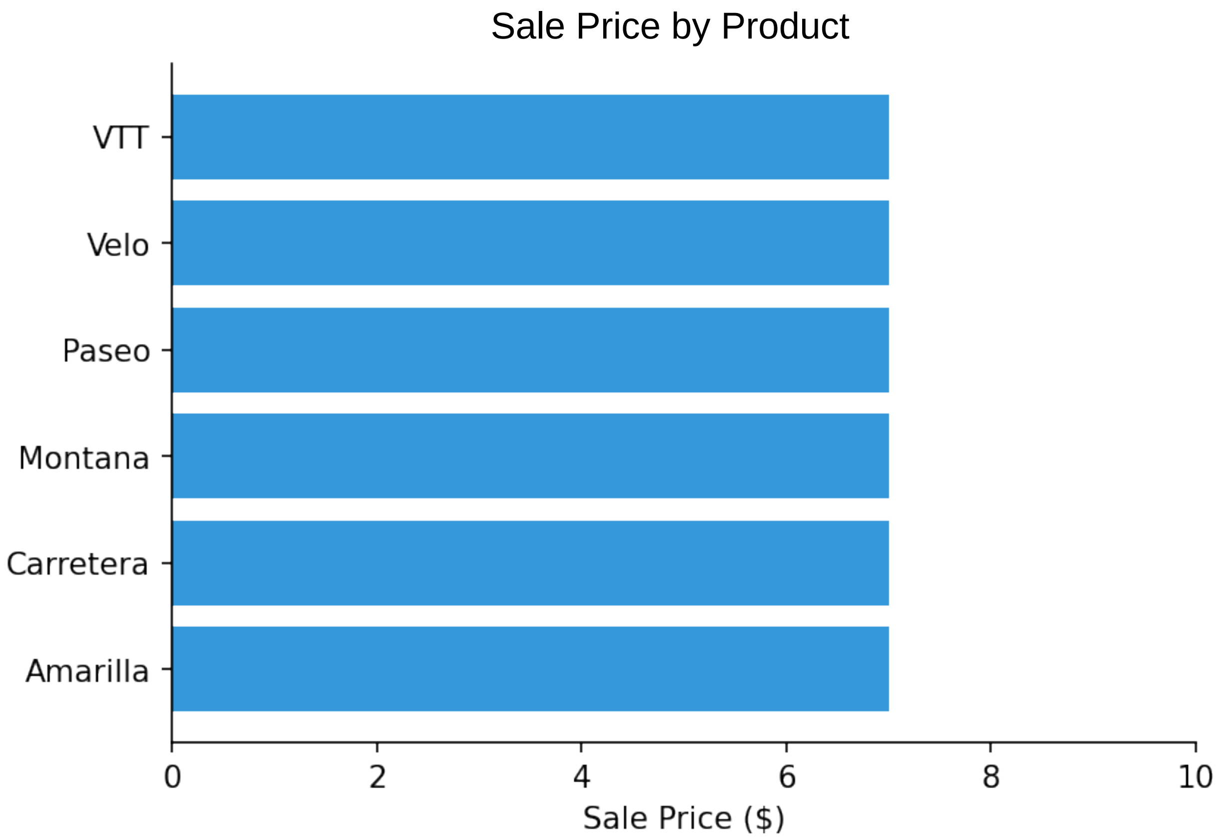
- **Efficiency Leaders:** France and Germany lead in Government segment profit, each delivering $2.7M.
- **Regional Comparison:** Canada ($2.3M) and Mexico ($2.0M) outperform the United States ($1.7M) in net profit contribution for this segment.



KEY INSIGHT: PROFIT BY DISCOUNT BAND (GOV)

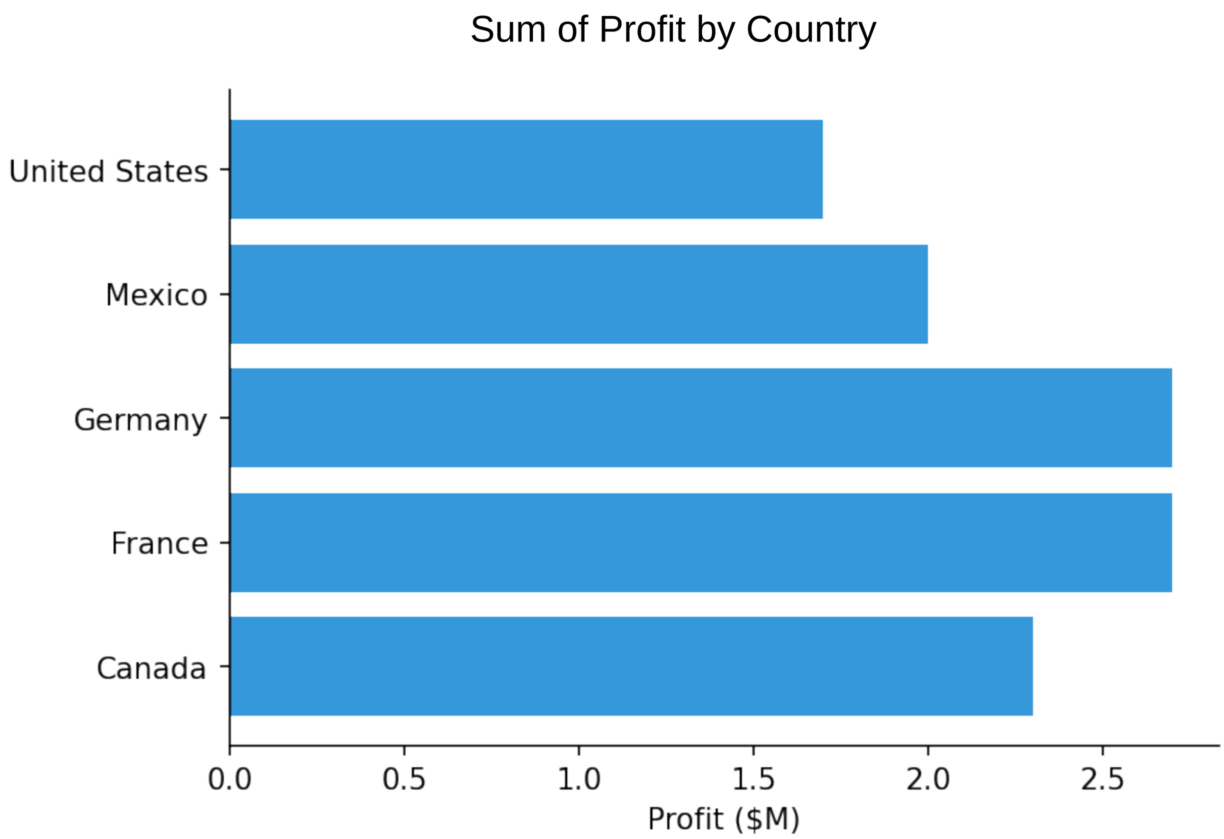
- **Primary Driver:** Within the Government segment, the Low discount band is the most effective, contributing $4.1M to the segment's total profit.
- **Constraint:** The High discount band yields $2.8M, mirroring the global trend of diminishing profit efficiency at deeper discount levels.

UNIT PRICING & REGIONAL SUMMARIES



KEY INSIGHT: SALE PRICE AUDIT BY PRODUCT

- **Fixed Pricing:** the dashboard confirms a uniform sale price of 7 for all product lines (Amarilla, Carretera, Montana, Paseo, Velo, VTT).
- **Economic Context:** This flat pricing model fails to account for the massive manufacturing cost variance ($3 to $260), directly causing the Enterprise segment's net loss.



KEY INSIGHT: SUM OF PROFIT BY COUNTRY (GOV)

- **Profit Concentration:** Government profitability is concentrated in France and Germany ($5.4M combined), which together provide nearly 50% of the segment's $11.4M total profit.

Strategic Recommendations

REBUILD THE ENTERPRISE SEGMENT PRICING MODEL

Enterprise is the only segment operating at a loss (-$0.61M). Review Enterprise-specific discounting, account-level cost-to-serve, and contract terms, and consider a minimum-margin threshold before approving additional discounts.

TIGHTEN DISCOUNT GOVERNANCE, ESPECIALLY IN THE “HIGH” BAND

The dashboard shows lower total profit for the High discount band than for Low and Medium. Introduce stronger approval controls for higher discounts and track post-discount margin, not revenue alone.

DOUBLE DOWN ON GOVERNMENT, SMALL BUSINESS, AND PASEO

Government and Small Business are the strongest profit-generating segments, while Paseo is the highest-profit product. Prioritize customer retention, account growth, and cross-selling in these areas.

PLAN CAPACITY AND MARKETING AROUND SEASONALITY

October is the strongest displayed month and March is the weakest. Align inventory, staffing, and marketing activity with stronger and weaker sales periods.

INVESTIGATE THE US PROFIT-MARGIN GAP

The United States has 25M sales but only 1.7M displayed profit, compared with 2.7M for France and Germany. Review regional discounting, product mix, and cost-to-serve to understand the difference.

RE-EVALUATE CARRETERA'S PRICING POSITION

Carretera has the lowest displayed manufacturing price (3) and the lowest product profit (1.8M). Review its pricing, sales volume, demand, and positioning before deciding whether a pricing or product-positioning change is appropriate.